

Cohen Brothers' \$114M Office Sale to ESRT Shows the Price of Liquidity

The most important number in Cohen Brothers Realty's \$114 million sale of two Manhattan office towers to Empire State Realty Trust is not the aggregate price. It is the per-square-foot basis: roughly \$80 at 1400 Broadway and \$65 at 112 West 34th Street. Those numbers are not a recovery. They are a reset.

And they tell the market exactly where institutional capital is willing to buy office today: at a basis that leaves room for vacancy, capex, and a higher cost of debt. The transaction, recorded in New York City records on June 4, covers a 35-floor, 768,000-square-foot building in the Garment District and a 25-floor, 806,400-square-foot property in Midtown.

Combined, the two assets total roughly 1.57 million square feet at an average price of about \$72 per square foot. To understand what this means, start with the seller. Cohen Brothers is not a distressed seller in the traditional sense. It is a private family office with a long hold history and no public market pressure to mark assets to market.

But private capital has its own constraints: maturities, partner liquidity needs, and the simple math of carrying vacant or under-leased space at current interest rates. Selling at \$70 per square foot is not a vote of confidence in the market. It is a liquidity decision.

The seller is choosing to exit now rather than wait for a recovery that may take years and cost more in carrying costs than the eventual upside is worth. Now consider the buyer. Empire State Realty Trust is a publicly traded REIT with a portfolio anchored by the Empire State Building. It has access to public equity and debt markets that private owners lack.

It can underwrite a longer hold period and a lower cost of capital. Buying at \$70 per square foot gives ESRT a basis that can support leasing to tenants who demand high-quality space but will not pay peak rents. The deal also reveals something about the bid depth for Manhattan office. These are not trophy towers. They are functional, well-located buildings in submarkets that have been hit hard by the post-pandemic repricing.

The fact that a public REIT stepped in at this basis suggests that institutional capital sees value at these levels, but only at these levels. For owners holding office assets at higher bases, the message is uncomfortable. The bid exists, but it is not at your price. The gap between where most owners carry their assets and where buyers are willing to transact remains wide. That gap is the cost of waiting.

For lenders, the transaction provides a comp that will be used in loan modifications, appraisals, and foreclosure analyses. If a 768,000-square-foot building in the Garment District trades for \$80 per square foot, that becomes the reference point for every similarly situated asset in the portfolio. Loan-to-value ratios that looked manageable at \$300 per square foot become untenable at \$80. The deal also highlights the bifurcation in office liquidity.

Capital is not flowing to all office. It is flowing to assets that can be acquired at a basis that pencils with current rents, current vacancy, and current debt costs. That is a narrow lane. Who benefits? ESRT, which gains scale in Midtown at a defensible basis. Tenants, who will see more competitive leasing options from a well-capitalized landlord. And the market, which gets a transparent data point that helps price risk.

Who is exposed? Every owner carrying office at pre-2020 valuations. Every lender with office exposure that has not yet been marked. And every investor waiting for a V-shaped recovery in office values. The next thing to watch is not whether more office trades. It is whether the next seller is a private owner making a calculated liquidity move or a lender forced to take the keys.

That distinction will define the next phase of the cycle.

Light Tower Group

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